

ARUN KUMAR

MACRO ECONOMY

BRACING FOR UNCERTAINTY

The volatility in oil prices sends India's budgetary calculations awry, but it may yet absorb the shock if the current correction sustains

By **ANILESH S. MAHAJAN**

As the US-Iran war drags on, the big concern for Indian policymakers is the overall impact on the economy, whether we are talking growth, inflation or fiscal deficit. A credible assessment will be possible only when physical flows of oil and assured supply chains are restored through the Strait of Hormuz.

That process has begun but it is not complete. Crude oil corrected sharply to around $95 (Rs 8,900) per barrel following the five-day pause announced by Donald Trump on March 23, down from the peaks of $108–110 (about Rs 10,250). But fresh uncertainty returned within a day after adverse signals from Iran, pushing prices back above $100 (Rs 9,400).

"OIL MARKETING COMPANIES AND THE GOVERNMENT HAVE SPACE TO ABSORB TRANSIENT SHOCKS OF UP TO SIX WEEKS, SINCE THEY DID NOT FULLY PASS ON THE BENEFITS OF LOWER OIL PRICES EARLIER"

— ASHIMA GOYAL
Ex-member, PM-EAC and MPC

For India, the swing is significant. At import volumes of about 4.8–5 million barrels per day, a $10 (Rs 940) decline reduces annual import bill pressure by roughly Rs 45,000–55,000 crore. With the corrected numbers, the import bill overshoot, which was threatening to cross Rs 1.2–1.5 lakh crore annually, could moderate to about Rs 69,000–75,000 crore. The current account deficit, too, may remain closer to 2–2.2 per cent of GDP, instead of widening to 2.5 per cent. The rupee, under pressure at Rs 93–95 per dollar, could stabilise in the Rs 91–93 range. A correction of $10–12 in crude typically